



Liquidity

24/7 tradable on Trakx.io
Third party liquidity providers



Safety

Institutional grade
Secure storage



Diversification

Low correlation to
other asset classes



100% Asset-backed

Fully auditable
Collateralised assets

For professional investors only

Trakx Lending

as of 01 Nov 2024

About Trakx

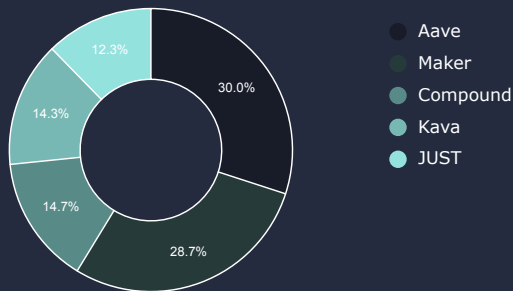
Trakx is a global fintech company creating new standards for digital asset investments. Through our trading platform, we offer thematic Crypto Tradable Indices (CTIs) and customised solutions, providing sophisticated investors a high degree of compliance, custody and liquidity. Trakx is registered with the French regulator (AMF).

About the CTI

This instrument is designed to replicate the performance of the largest lending/borrowing protocols tokens. Lending platforms enable the lending of assets in the crypto sphere. This index essentially captures the rapid growth of the lending activity notably driven by high interest rates offered compared to those in traditional finance.

Lending protocols can be split between centralised and decentralised services. While centralised protocols require users to go through a Know-Your-Customer (KYC) process, decentralised protocols only need a compatible web3 wallet.

New Asset Allocation as of 01 Nov 2024



Why Lending Protocols?

Lending protocols have high potential to disrupt the traditional banking system as they enable digital assets owners to earn interest on their holdings, they are the most popular within the DeFi exosystem thanks to:

Accessibility

Anyone in the world with an internet connection could lend and borrow without any wealth or geographic barrier opening up a world of opportunity.

No credit checks requirements

Transactions are collateralised with other digital assets

Security

Lenders do not bear any counterparty risk as their transactions are guaranteed by collateral

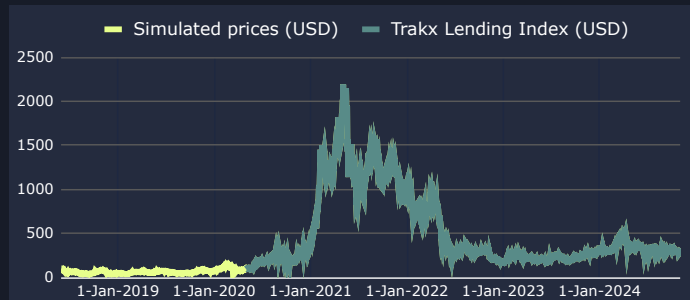
Attractive interest rates

Lenders get competitive interest rates compared to those of traditional markets (currently close to zero). Also, interest starts compounding from the second the deposit is received.

Historical Performances

Index returns and statistics are for illustration only. All data were calculated from the historical prices of the constituents. Prior to inception on the 30th April of 2020, CTI performances were calculated with a fixed weighting. Index returns do not reflect any transaction costs or expenses. Past performance does not guarantee future results.

Source: CryptoCompare, Coingecko



	1 month	Since 30 Apr 2020	Since ** 31 May 2018
Index Returns (USD)	-12%	194%	202%
Annualized Volatility	49%	95%	103%
Index Sharpe Ratio	-2.82	0.45	0.18
Bitcoin Sharpe Ratio	2.09	2.54	0.63
Max. drawdown	-21%	-92%	-92%
Correlation to S&P 500	-0.24	0.05	0.15
Correlation to a 60/40 pfi*	-0.16	0.03	0.12
Constituents Market Cap	\$4,300 million		

*simulated portfolio of 60% Equities (S&P500) and 40% of bonds (Long Term US Treasury bonds ETF)
**includes simulated performances

Key Facts

CTI (investment instrument)	
Sponsor	Trakx SAS
Product Ticker	LILEN
Investment Objective	Capture the evolution of a basket of Lending Tokens
Eligible Investors	Professional investors in EEA and Switzerland Not to be offered to US clients or in the US
Currency	USDc
Management Fee	2%
Performance Fee	0%
Inception Date	30 April 2020
Expiry Date	Open-Ended

Underlying Index	
Name	Trakx Lending Index
Nb of constituents	Up to 10
Leverage	1
Rebalancing	Monthly
Weighting	Market Capitalisation with a cap of 38%
Bloomberg ticker - FIGI	TRXLEN - BBG0169XQYD6
Data source	Kaiko, Coingecko
Custodians	Coinbase Custody, Fireblocks



Risk Factors of the Product

Prospective investors should ensure they fully understand the nature of this product and the extent of their exposure to certain risks. They should consider the suitability of this product as an investment based on their own personal circumstances and financial situation, investment experience, and investment objectives. This product could involve a high degree of risk. Potential investors should be prepared, in certain circumstances, to sustain a total loss of their invested capital. Prospective investors should also consider the following important risk factors below and discuss this investment with their trusted advisors to help verify this product is suitable for their portfolio. Note, the terms and conditions of this product are subject to change during the lifetime of the product.

Market Risks

The general market performance of this instrument is dependent on various endogenous and exogenous factors. Market disruptions such as trading or exchange interruptions, the discontinuation of trading, or other unforeseeable occurrences concerning the respective instrument and/or its underlying assets, the exchanges, market participants, and other factors may take place during the life of this product. Such occurrences can influence the timing of redemption and/or on the market value of this product. Past performance is not a reliable indicator of future performance.

No Dividend Payment

Investors should have no expectation of influence over Trakx's shareholders' general meetings as well as no rights to Trakx's earnings nor other interests in the company, such as dividends.

Termination Risk

Trakx may terminate the product if it doesn't meet the requirements of our clients. In any case, Trakx will announce the delisting thirty (30) days prior to the end date. On the last day, all relevant customer positions on 'to-be' delisted CTI will be sold at their NAVs and converted to USDc onto the customers' wallets.

Liquidity Risk

At rebalancing, Trakx only includes constituents that meet minimum liquidity requirements. Trakx is not responsible for the liquidity shortage on the platform, if there is insufficient liquidity on certain constituents, customers may choose to redeem their CTI at a lower price than the NAV. Digital assets may have limited liquidity which may make it difficult or impossible for you to sell or exit a position when you wish to do so. This may occur at any time, including at times of rapid price movements.

Tax Implication

There may be a tax implication on investing in this product. Trakx does not provide any tax opinion. Any investors should consult with their own tax advisor prior to investing in the product. In addition, investors should be aware that taxation, with respect to the underlying(s) and therefore this product, may (adversely) change over the lifetime of this product.

Foreign Exchange Risk

The investor in the product is exposed to foreign exchange rate risk if the currency of the underlying and settlement currency are not identical.

Volatility of Crypto-Assets

The value of crypto-assets may change significantly, even on an intraday basis. As the volatility of crypto-assets may currently be higher than traditional assets, changes and advances in technology, increases/decreases in fraud, theft, cyberattacks, regulatory changes, and other factors, further stress the potential of exaggerated investment gains or losses in this product. In addition, crypto-assets lack the historical track record of other traditional financial assets, thus increasing performance uncertainty.

Disclaimers

TRAKX SAS and its affiliates (collectively, the "Sponsor") are furnishing this presentation (this "Presentation") to qualified prospective investors for informational purposes only in relation to a potential opportunity to acquire Trakx Digital Asset Index product. This is neither an offer to sell nor a solicitation for an offer to acquire.

Investment in digital currency carries a high degree of risk and volatility and is not suitable for every investor; therefore, you should not risk the capital you cannot afford to lose.

Risks include loss of all capital, liquidity, absence of regulations, execution, counterparty and many more as these are still very experimental technologies. Please consult an independent professional financial or legal advisor to ensure the product meets your objectives before you decide to invest.

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The historical backtested performance of the Trakx Digital Asset Index was calculated by retroactively applying the index methodology (a financial model, or set of rules for calculating index constituents and weightings) to a historical set of data in order to arrive at hypothetical index performance. This performance history is not the performance of any actual account, but rather the result of applying a set of mathematical rules to a set of historical data in order to arrive at the hypothetical results of how the Index would have performed if it had, in fact, been in existence during the historical period. Actual returns from live baskets will differ materially from the backtested, hypothetical Index returns. Hypothetical returns do not reflect the macroeconomic risks of using an investment strategy in a different time period or the financial risk of executing trades in a live contract which include the potential market impact on cryptocurrency prices caused by buying or selling that could cause the model's buy or sell prices to differ from the frictionless trades of the back-tested model. As the backtested returns simulate the historical hypothetical performance of an Index, hypothetical investment fees associated with investing in a smart-contract tracking this hypothetical index (including trading commissions, brokerage fees, management fees, or other fees) have not been included in (by reducing) the historical performance. Although the information on this fact sheet provides some idea of the historic risks involved in investing in a smart-contract designed to track the index, past hypothetical performance is not a guarantee of future returns. Backwards-looking performance cannot predict how any investment strategy will perform in the future.

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